GRADE 12 / Accounting / English

Use ratios to explain performance

01 Understand

Learning goals: Calculate gross profit and liquidity ratios • Interpret a change with evidence • Recognise a ratio’s limits

Gross profit is sales less cost of sales. Gross profit margin = gross profit / sales × 100; mark-up on cost uses cost of sales as denominator.

Current ratio = current assets / current liabilities. Acid-test ratio excludes inventory from current assets in the simplified school calculation.

Ratios need comparison with prior periods, targets or context. A high current ratio can include slow-moving stock and does not automatically mean cash is available.

Illustrative company information

Item	Amount	Use
Sales	R500 000	margin denominator
Cost of sales	R300 000	gross profit calculation
Current assets	R120 000	includes R40 000 inventory
Current liabilities	R60 000	liquidity denominator

02 Follow the reasoning

Calculate gross profit margin, current ratio and acid-test ratio.

1. Gross profit = 500 000 − 300 000 = R200 000; margin = 200 000/500 000 × 100 = 40%.

2. Current ratio = 120 000 : 60 000 = 2 : 1.

3. Acid-test = (120 000 − 40 000) : 60 000 = 1.33 : 1, rounded to two decimals.

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Practise with purpose

03 Try before checking

Use paper or your notebook. Show your reasoning. For written responses, use evidence and explain your choices. Suggested time: 15–20 minutes.

1. Calculate the mark-up on cost for the same company.

2. If inventory rises while cash falls by the same amount, what happens to current ratio?

3. Give one reason acid-test ratio may still overstate immediate cash availability.

04 Check and correct

1. 200 000/300 000 × 100 = 66.67%.

2. It is unchanged if total current assets and liabilities stay the same, although asset quality changes.

3. Debtors may pay late or not pay; receivables are not immediately available cash.

Common mistake to avoid

Always label the ratio and denominator. Gross profit margin and mark-up are different measures.

Reflect and revisit

Identify one correction in your own words. Attempt a similar question tomorrow without looking at the guide. If you are still unsure, take your attempt to a teacher or tutor.

Coverage and sources

CAPS topic focus: Financial accounting: companies; analysis and interpretation

DBE CAPS, Grades 10–12: Accounting. Section 3 content and skills. This is a focused supplement, not a complete syllabus or prescribed literature replacement.

Open the official DBE curriculum reference

Content and visuals: original SmartBridge FET. AI-assisted authoring; subject-teacher and language-specialist review pending. Report an issue with the pack ID acc-12.